

SPECIAL SCHOOL COMMITTEE MEETING - NOTES - April 29, 2020 - Via Zoom

Pursuant to Governor Baker's March 12, 2020 Order Suspending Certain Provisions of the Open Meeting Law, G.L. c. 30A, §18, and the Governor's March 15, 2020 Order imposing strict limitations on the number of people that may gather in one place, this meeting of the Medford School Committee will be conducted via remote participation to the greatest extent possible. Specific information and the general guidelines for remote participation by members of the public and/or parties with a right and/or requirement to attend this meeting can be found on the City of Medford website, at www.medfordma.org. For this meeting, members of the public who wish to listen or watch the meeting may do so by accessing the meeting link contained herein. No in-person attendance of members of the public will be permitted, but every effort will be made to ensure that the public can adequately access the proceedings in real time, via technological means. In the event that we are unable to do so, despite best efforts, we will post on the City of Medford or Medford Community Media websites an audio or video recording, transcript, or other comprehensive record of proceedings as soon as possible after the meeting. The meeting can be viewed through Medford Community Media on Comcast Channel 22 and Verizon Channel 43 at 4:00 p.m.

Since the meeting will be held remotely, , participants can log or call in by using the following link or call-in number:

(1) Medford School Committee Meeting on Zoom

(2) Telephone Information (choose any one of the following and then follow the prompts) (a)

1-929-205-6099 (b) 1-312-626-6799 (c) 1-301-715-8592 (d) 1-346-248-7799 (e)

1-669-900-6833 (f) 1-253-215-8782 (i) Enter this meeting ID when prompted: 911 8082 5711

Additionally, questions or comments can be submitted during the meeting by emailing medfordsc@medford.k12.ma.us. Those submitting must include the following information: 1) Your first and last name 2) Your Medford street address 3) Your question or comment While it is possible to submit questions via the Zoom software, we are strongly recommending that you use the email above while we gain familiarity with hosting our meetings online.

Meeting called to order by Mayor Lungo-Koehn - 4:05 PM Mr. Tony Rosselli, from an outside CPA firm will join us in our City Auditor/Finance Director's absence. We appreciate his assistance at this time.

Roll Call 7-0 / Salute the Flag

Finances and Budget for Medford Public Schools (FY 20 & FY 21)

Presentation from City of Medford Auditors (Roselli, Clark & Associates, CPAs)
Review of Program fees and tuitions for all tuition-based programs

Mayor - Mr. Rosselli will detail the shortfalls for FY 20 and 21 and how to properly budget as we proceed

Mr. Rosselli - I can't replicate what was done in the last 4 months in just the past 4-5 days. I have reached out to various department heads. I've been doing this work since 1984, and I have never seen anything like this pandemic situation. It is extremely difficult to comprehend. I have contracts with other municipalities so that has provided good dialogue about this issue, but we basically know nothing. I am on zoom calls with the state every 2 weeks, and no one can commit to anything. I will try to explain this dire situation. The way the municipal budget works...you have a wish list... here are the revenues...so can you fund what you want? However, in this case, we have to look at the revenues first, and then see if anything can be taken off the wish list.

2020 Budget - State will reduce it, but not sure what that will be. State only provides 20% of Medford's budget so receipts are extremely important. I went back to the last time Medford's budget had this type of issue which was in 2008-2010. The Governor implemented 9C cuts and reduced state aid due to the bad economy - Medford's state aid got cut 18-20% The state number could change, but it could go up or down. Right now it appears that Medford will see a \$5M reduction in revenues.

For example, Medford's building permits were expected to bring in \$4M - that won't happen, maybe they'll bring in \$2M but the Building Commissioner will be getting back to me with a more accurate number. Medford's Excise Tax is down by 7 %. Hotel & Meals Taxes are close to 0, so that could mean another \$1M in reductions -

Fixed Costs - will cost about \$11M
Last year's budget - Budget gap \$8.2M

Things change every day ... Congress going back into session - National Mayor's and National Governors Associations are really pushing Congress to pass a stimulus bill to help fund state and city and town budgets.

\$61.5M - School Budget last year - revolving funds will not be able to assist much this year. Revolving funds could be close to 0 or in the red.

This is a quick summary of where we are at.

Attorney Greenspan - Has the state indicated that they might use the rainy day fund to help cities and towns?

Mr. Rosselli - It has been discussed but there has been no commitments. Washington hopefully will provide funding. If that doesn't happen, you could potentially see half your police force be laid off for example.

Attorney Greenspan - What about utilizing the 1/12th budget?

Mr. Rosselle - If Medford were to go on a 1/12 budget, it would still have to work with flexible costs and revenue. Everett has already decided to do a 1/12th budget, because there is too much that is unknown - The auditor there isn't doing one thing yet, just waiting for more information. My suggestion would be is that Medford wait 21 days - to see if Congress does anything or if the economy will open again

Ms. Van der Kloot - How much economic impact for this fiscal year?

Mr. Rosselli - I've been talking about fiscal year 21. So waiting this year might be a good thing. Medford's tax bills have been delayed. It will become a problem if most if not all real estate taxes can't be collected. At this point, I suggested that free cash be used as a buffer in case real estate taxes don't come in as needed. I know department heads are trying to reduce expenses this year which might help. I say, keep all options open and work together as a team.

Ms. Caldwell - Thank you Tony for presenting this bleak picture. Should the school budget be level funded this year?

Mr. Rosselli - It may help - forget any increases and be very fluid with it - put some placeholders in

Mayor - If we level fund the budget, will there still be an \$8M gap?

Mr. Rosselli - We just don't know. If you can cut, good. Otherwise level fund and know you might have to cut.

Attorney Greenspan - What's your definition of level funding? Does it mean level services? We have built it in increases in salaries.

Mr. Rosselli - Administration plans to talk to collective bargaining units to see if they will forgo step raises or agree to reducing hours, for example. At this time, I would say work towards \$61.5M - but plan to reduce it

Mayor - On the city side, we implemented a spending freeze, so we hope that will help. I know Malden is trying to negotiate furloughs with their collective bargaining units.

Mr. Rosselli - Malden is thinking of closing on Fridays, so no pay for that day and utilities will be saved to avoid layoffs. They are also looking at rotating schedules, so less people in offices, but offices always covered. Usually the first things that are cut are library hours and senior citizen center hours. Need to protect the services that are needed such as police and fire. Some of the other cities have better reserves than Medford - last 5-6 years were extraordinary in growth so reserves weren't as important. \$29M Tax Bills - for June - whether those are paid will be a big indicator

Mayor - My office and I know the Treasurer's Office have received a number of calls that people don't think they'll be able to pay on June 1st

Mr. Rosselle - The Treasurer couldn't gauge how many people possibly could pay, but we will know June 2nd.

Ms. Patterson - I want to clarify - the school appropriated budget is \$61,250,000 million but in reality \$63,050,000 million is our total budget.

Mr. Rosselli - The revolving accounts?

Mr. Ruseau - What happens if we don't pass a budget by June 30th?

Attorney Greenspan - I believe we are obligated to pay

Ms. Patterson - If we anticipate not having a budget to pass by June 30th, DOE needs to know by June 1st

Mr. Ruseau - Are we allowed to borrow in order to provide services?

Mr. Rosselle - You would need special legislation passed on the state level.

Mayor - Are there any other questions?

Mr. Rosselle - I will have updates as we go forward. I still have department heads to speak with. I am working with the Treasurer: The City is doing a borrowing program on June 9th for a short term, so that might impact things. We are going to keep track of the numbers as we can. The most up to date information is necessary, I'm working information updated up to April 2nd I'm very happy to help you to help you all through this process

Mayor - We are working with the Council and the unions. We will work on pushing the federal government as well. This part of the meeting is closed Motion to enter executive session

Ms. Graham - what about our preschool and afterschool programs?

Ms. Patterson - No firm numbers yet, but we have a significant deficit in both the preschool and MEEP programs, and we are losing some grant funds from the state for preschools. So those tuitions will need to be reviewed for an increase. As of right now they aren't covering staff expenses in those programs. The Before School/After School has a 3% increase from the FY20 rate, but again, there are significant losses due to the closure, that is ¼ of total revenue. So we are looking at covering the gap here as well as looking forward to FY 21. We are looking at all options to help.

Ms. Graham - So the school committee doesn't weigh in on tuition rates?

Ms. Patterson - No typically, we work with program directors for what's needed in that program area. But in these dire circumstance we need to look at all options

Ms. Graham - So maybe Howard can answer this question. Regarding the roles and responsibilities for school committee members, shouldn't we be weighing in on these fees?

Attorney Greenspan - I think you should be

Mr. Ruseau - I think we will need a committee of the whole for all rates for all fee based activities with the inclusion of a sliding scale, increasing fees on those who can afford them -

Ms. Patterson - I can share the rates/fees, but not sure we have time for another meeting to be scheduled.

Mr. Ruseau - Well before we decide on next budget we should know if we can make adjustments

Ms. Graham - As we go forward, we would conduct program reviews. However, the After School rates have already been set so we have no say. Are we still collecting any payments?

Ms. Patterson - We halted all payments

Ms. Graham - Are we going to refund the balances?

Ms. Patterson - Yes

Ms. McLaughlin - Clarification for Mr. Ruseau are you making a motion for an additional meeting regarding the fee schedule?

Mr. Ruseau - I think we need it before budget decisions. I know we can reduce fees, but are we able to raise them?

Ms. Patterson - Regarding your sliding fee schedule request, there is a lot more management to that. We just don't have the staff. All family incomes would have to be verified. We don't have the capacity to do that. Once I'm able to put tuition fees into a document you'll be able to review them. If families have a hardship, then they'd apply for assistance. There are 510 families utilizing these programs

Ms. Graham - I'm interested if there is a way we could find out what other school districts charge for private after school programs in our surrounding areas to see where we stand and then we can compare...

Ms. Mustone - We are up the creek without a paddle. I am wondering if the Community Schools budget could be brought into the City side so school budget is not down by \$700,000 for example

Mayor - We can talk it out with legal

Mr. Ruseau - I agree with Ms Mustone. This notion is an oddity. Other school committees don't have this issue. Look if the residents don't want to fund the schools. Schools are part of the community and it doesn't make any sense that community schools are part of the school budget. I really agree with her.

Ms. McLaughlin - I don't want the community to view this as an us against them, especially with special education funding. I caution against this.

Ms. Patterson - Revolving funding - is a funding level of service in its entirety. We would be turning the pool, rink and building rentals to the city and those rentals are helping to offset the gap. If we remove this component, schools will have no ability to fill a gap.

Mr. Ruseau - I'm under estimating the level of the funding, but I've been to the council meetings where the council seems surprised that the city hasn't provided enough funding to the schools. We always seem to have a back up plan. So if we have no funding we can't provide the services. We can say your city council didn't want to fund the services. They should be on the hot seat. I mean we have wish lists of \$6-7 M now? The buck stops with Council. School finance is ridiculously complicated. Medford is doing things in a weird way. It is beyond frustrating.

Ms. Van der Kloot - While I appreciate what my fellow members have said, being creative in the past, has provided us with the opportunity to provide many services/programs for our students.

Ms. Graham - I get that. But this \$6M wish list is need orientated.. For example, we don't have enough computers in our district - we need literacy teachers - We are underfunded in comparison to other districts. That's not what I want for my kids or for the kids in this district.

Ms. Van der Kloot - I agree - But being creative has provided us with many opportunities

Ms. Graham - We are so bare bones

Mr. Ruseau - I think it's unfair for us to pretend to Medford voters that we are better then we really are. It is a disservice. We need to increase our tax base

Negotiations and Legal Matters -Executive Session

1. To discuss collective bargaining: • Union Contracts • Non-Union Contracts

Ms. McLaughlin - I make a motion to move into executive session, seconded by Ms. Van der Kloot, motion passes.

Mayor - Roll call vote please

Roll Call - 7-0 to move into executive session at 5:19 PM

Reconvened at 7:00 PM

Motion that lifeguards, rink guards, and field workers not continue to be paid after May 4th, by Ms. Van der Kloot, seconded by Mr. Ruseau. Roll Call Vote

Motion passes 7-0.

Motion that After School Program Director, Site Coordinators, and Lead Teacher only will continue to be paid, by Ms. Van der Kloot, seconded by Ms. McLaughlin. Motion passes.

Yes Votes - 6

Abstain - 1

Motion to adjourn by Ms. Graham, seconded by Ms. McLaughlin, motion passes 7-0.

Mayor - next meeting is Monday, May 4th, for the Budget at 4 PM and regular meeting at 5:30 PM Thank you. We are adjourned - 7:05 PM